concerned persons in the language understandable by the receiver.

5. All members of an organisation should be encouraged to give their opinion on various aspects while arriving at important decisions. In most cases the top executive will not get opinion from the low rank executive because they think it is below their dignity. But this is not a good practice.
6. Some decisions taken by the top management is not accepted by the subordinates, hence democratic style of leadership is required to deal with such kind of employees and making them participative in the decision making process.
7. Just making correct decision will not solve the problem. Implementation of the decision and periodical review alone can produce the expected results.

DO YOU KNOW?

On 8th November 2016, the Government of India announced the demonetization of all ₹500 and ₹1000 banknotes of the Mahatma Gandhi Series. It also announced the issuance of new ₹500 and ₹2000 banknotes in exchange for the demonetized banknotes. It is a big critical and strategic decision taken by government of India to eradicate black money circulation in India.

4.7 Process of Decision Making (or) Steps Involved In Decision Making

The decision making involves certain logical process which should be followed in the sequence by the manager. A decision to a business problem cannot be arrived immediately without any effort. It is a step by step process and involves mental work also.



Figure 4.3 Process of Decision Making

STEP 1 Identifying the Problem

The first step in the decision making process is recognising a problem. It involves defining and formulating the problem clearly and completely. Understanding and correct diagnosing of the problem will help in immediate solution. For example: A company product may witness decrease in sales. In a broad sense it will be presumed that due to increase in price may lead the problem to come down. But the actual problem is that customers may not like the quality of the product. Therefore the manager should clearly define for what problem they need a solution. That's why defining the problem may be a time consuming task but it is time well spent. Defining and analysing the problem involves identifying the critical factors and data which may be obtained from internal such as sales report, profit statements and external sources such as customer feedback etc.

STEP 2: Analysing the Problem

It involves the collection and classification of as many facts as possible. This is done because the quality of decision is depending on the quality of data used. By studying all the information in detail the manager can able to diagnose where the problem got emerged, what is the cause of the problem and what is the present and future damage of the problem.

XII OSS_English version CHAPTER 04.indd 51 1/7/2020 5:50:11 PM